out cash from the economy and pushed the use of digital currency. BYJU'S was propelled to the stratosphere as the Covid-19 pandemic hit the world in 2020 and fuelled an unprecedented boom in online education. Both start-ups became the darlings of investors, who pumped crores into them. Sharma had money pouring in from domestic as well as foreign investors that, until November 2020, totalled $3.5 billion (Rs 29,000 crore). He used the money to make acquisitions and fund a massive expansion of his payments business. Between 2020 and 2023, Raveendran received as much as $4.8 billion (Rs 39,750 crore), which he used to acquire a chain of complementary companies, Indian as well as foreign.

However, like meteorites blazing through the sky before fizzling out, both companies began to experience rapid burnouts by the end of 2023, albeit for different reasons. The duo saw not just a crash of their impressive valuations, but also of their credibility and reputation as the whiz-kids of India's start-up blitz. From a peak of Rs 1,564 two years ago, Paytm's share price stood at Rs 393 on March 6 and its m-cap at just Rs 24,961 crore, a fourth of its valuation in November 2021. BYJU'S fortunes plummeted likewise—from a peak valuation of $22 billion (Rs 1.8 lakh crore) in 2022 to $220 million (Rs 1,820 crore) currently—a fall of 99 per cent.

While both Sharma and Raveendran are struggling to scale their way back up from their respective nadirs, their rapid rise and steep fall has had a sobering impact on India's galloping start-up ecosystem, with investors becoming increasingly wary and circumspect about funding them. From exemplars of innovation, both have become cautionary tales of how overambition and overreach can lead to disastrous follies and dramatically destabilise your empire, holding lessons for all Indian businesses. To find out how it all unravelled, we need to know how it

BYJU'S

BYJU RAVEENDRAN, 44

Co-founder, BYJU'S





BRIGHT SPARK

- Born in 1980 to schoolteacher parents in Azhikode village in Kerala. Passed out from a Malayalam-medium school. An exceptional student, finished B.Tech. degree from Govt Engineering College, Kannur, in 2000
- Like Apple founder Steve Jobs and his black turtlenecks, Byju, to date, wears a black T-shirt to work every day. Why? Because he follows the KISS (Keep it simple stupid) fashion mantra, saying it's easy to get ready in the morning

THE TEACHING BUG

- In 2006, set up Byju's Classes, which became so big that test-prep sessions have to be conducted in stadiums nationwide. "They were packed. Byju would stand in the middle of a six-sided screen and take math classes. Kids would sit in pin-drop silence and listen," says wife Divya Gokulnath of the "math concerts"
- Incorporated Think & Learn Pvt Ltd (a.k.a. BYJU'S) in 2011. A year later, business tycoon Ranjan Pai attended a business entrance test-prep class incognito and was so impressed, he offered to part-finance Byju's online tutoring venture
- In Sept. 2016, Mark Zuckerberg in a Facebook post announced that "Priscilla and I are investing in an Indian education technology company we're excited about called BYJU'S". By 2023, the Chan Zuckerberg Initiative had exited the BYJU'S board
- BYJU'S becomes a case study at Harvard Business School in 2016. "I remember sitting in a train and predicting its speed by counting the number of electric poles we had crossed in a certain time," was one Byju quote highlighted by interviewers there
- Shah Rukh becomes BYJU'S brand ambassador In Nov. 2017
- By 2018-end, with a billion dollar valuation, the company joins the unicorn club

THE COVID 'ADVANTAGE'

- During the lockdown in 2020, BYJU'S, now valued at $8 billion